**NATIONAL COMPANY LAW TRIBUNAL**
**NEW DELHI BENCH (COURT- IV)**
**C.A.(CAA)-34/ND/2022**

**IN THE MATTER OF SCHEME OF AMALGAMATION:**

**AMONGST**

**SPAN FASHIONS LIMITED**

**... Applicant No.1/Transferor Company**

**AND**

**PRIMA ASSOCIATES PRIVATE LIMITED**

**...Applicant No.2/ Transferee Company**

**AND**

**THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS**

**Order Delivered on:04.05.2022**

**Section: 230 to 232 of the Companies Act, 2013**

**CORAM**

**SH. DHARMINDER SINGH, HON'BLE MEMBER, (J)**
**SH. HEMANT KUMAR SARANGI, HON'BLE MEMBER, (T)**

**ORDER**

**PER- SHRI DHARMINDER SINGH, MEMBER- JUDICIAL**

Under consideration is the Application No. C.A.(CAA)34/ND/2022 jointly filed under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, seeking dispensation/convening of the meetings of the of shareholders and creditors of



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both the Applicant Companies and for approval of the proposed Scheme of Amalgamation. The said Scheme of Amalgamation (hereinafter referred to as the "Scheme") has been placed on record along with the joint applications.

2. M/s Span Fashions Limited (hereinafter referred as the **"Transferor Company")** having CIN no. U74899DL1985C02104 was originally incorporated as a private Limited Company under the provisions of Companies Act, 1956 on 21.02.1985. Subsequently, the Transferor Company was converted into Limited Company vide order dated 07.06.1989 of the ROC. The registered office of the company is situated at 24, Jor Bagh, New Delhi – 110003.

3. M/s Prima Associate Private Limited (hereinafter referred as the **"Transferee Company"**) having CIN no. U74899DL1984PTC01811 was originally incorporated as a private Limited Company under the provisions of Companies Act, 1956 on 08.05.1984. Subsequently, the Transferor Company got converted into Limited Company vide order dated 07.06.1989 of the ROC. Thereafter, again on 06.07.1999 the company was converted into a Private Company Limited by shares. The registered office of the company is situated at 24, Jor Bagh, New Delhi – 110003.

4. The present application has been jointly filed by both the Transferor and Transferee Companies. Both the Companies are collectively hereinafter referred to as (**'Applicant Companies'**). It is represented that the registered offices of both the applicant companies are situated in New Delhi and therefore the Jurisdiction of this joint applications lies with this Bench.

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5. The Board of Directors of both the applicant companies vide separate meetings, held on 03.12.2021 respectively, have unanimously approved the proposed Scheme of Amalgamation. The copies of board resolutions passed in their respective board meetings have been placed on record.

6. It is stated by the Applicant Companies that the following objectives are sought to be achieved by way of Amalgamation:

> *"(i) Streamline the holding structure of the Companies and to ensure focused management in a single combined entity.*
>
> *(ii) Efficiently and optimally utilize cash resources of all companies under a single combined entity.*
>
> *(iii) Facilitate administrative and compliance convenience and reduce overhead, operative and administrative costs and consequently improve profitability; and*
>
> *(iv) Combining the net worth Transferor and Transferee Company for better credit standing."*

7. In terms of Section 230(2)(a) the Applicant Companies have submitted that no investigation/ inquiry/prosecution are pending against them under the provisions of Companies Act 2013.

8. The Applicant Companies have also placed on record the Certificate from the Statutory Auditors conforming that their Accounting Standards are in conformity with the provision of Section 133 of the Companies Act 2013.

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9. The Applicant Companies have filed their respective Memorandum of Association (MoAs) and Articles of Association (AoAs). The Applicant Companies have filed their financial statements as on 31.03.21 and Provisional Financial Statements as on 30.09.2021.

10. The position regarding the Applicant Company wise no. of Shareholders and Creditors and their Consent through Affidavits is summarised overleaf:

| Particulars | Transferor Company | % | Transferee Company | % |
|---|---|---|---|---|
| No. of Equity Shareholders | 7 | 100 | 2 | 100 |
| Consent given | 7 | 100 | 2 | 100 |
| No. of secured creditors | NIL | N.A. | NIL | N.A. |
| Consent given | N.A. | N.A. | N.A. | N.A. |
| No. of un-secured Creditors | NIL | N.A. | NIL | N.A. |
| Consents given | N.A. | N.A. | N.A. | N.A. |

11. The applicants further affirmed that the Scheme shall not be prejudicial to the interests of the shareholders, and creditors of the Applicant companies. Rather, the same may be beneficial to all the applicant companies and their respective shareholders, and creditors.

12. Taking into consideration the aforesaid facts and circumstances, following directions are issued: -

**A. In relation to Transferor Company.**

i. <u>With respect to Equity Shareholders</u>:

There are Seven Equity Shareholders of the Transferor Company. Since, all the equity shareholders have given their consent by way of



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affidavits, therefore, the requirement of convening the meeting of the Equity Shareholders is dispensed with.

ii. With respect to secured creditors:

Since there is no secured creditor in the company, the requirement dispensing / convening the meeting of the secured creditors does not arise.

iii. With respect to unsecured creditors:

Since there is no un-secured creditor in the company the requirement dispensing / convening the meeting of the secured creditors does not arise.

**B. In relation to Transferee Company.**

**i.** With respect to Equity Shareholders:

There are Two Equity Shareholders of the Transferee Company. Since, both the equity shareholders have given their consent by way of affidavits, therefore, the requirement of convening meeting of the Equity Shareholders is dispensed with.

**ii.** With respect to secured creditors:

Since there is no secured creditor in the company the requirement dispensing / convening the meeting of the secured creditors does not arise.

**iii.** With respect to unsecured creditors:

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Since there is no un-secured creditor in the company the requirement dispensing / convening the meeting of the secured creditors does not arise.

In view of the above the present joint application stands allowed by dispensing with the meetings of shareholders and creditors of both the applicant companies.

Let the copy of the order be served to the parties.

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**(HEMANT KUMAR SARANGI)**
**MEMBER (TECHNICAL)**

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**(DHARMINDER SINGH)**
**MEMBER (JUDICIAL)**

Pronounced today u/d Rule 151 of NCLT Rules, 2016 as the Hon'ble Member (Technical) Shri. Hemant Kumar Sarangi is not holding the Court today.

Vishal Rana
04-05-2022

**Court Officer**